

Procurement Has a Supplier Readiness Problem.

Intelleges Works With Your Suppliers So You Don't Have To.

The only company providing a supplier readiness platform for your suppliers.

Why proactive supplier readiness outperforms last-minute compliance chasing — and what the evidence says.

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Executive Summary

Procurement stress around last-minute compliance requirements is not a staffing problem. It is an operating-model problem.

Compliance obligations — TPRM, CMMC, OFAC/SDN screening, ITAR, counterfeit-parts controls, ISO 9001 evidence, DFARS clauses, and insurance documentation — surface at the worst possible moment: right before a PO renewal, a supplier onboarding decision, an audit, a customer review, or a contract award. [1][2][3]

The underlying cause is structural, not accidental. NIST SP 800-171 places safeguarding requirements into contractual vehicles. The Department of Defense has begun phased CMMC implementation. The evidence-collection model that must satisfy these requirements is still, in most organizations, built on manual PDFs, email chains, and spreadsheets. [1][2]

In an Intelleges analysis of 174 real supplier compliance forms, 87.4% were static PDFs completed by hand. 43% required the supplier to enumerate repeating sets of records. The process is structurally repetitive by design.

The solution is not a better questionnaire. It is a shift from reactive document chasing to proactive supplier readiness — and the shift is straightforward once the operating model is right.

At Intelleges, we work directly with your suppliers to make sure they are ready before your purchase order renewals and audits arrive. We handle the outreach, the collection, the follow-up, and the evidence — so your suppliers show up prepared and your procurement team doesn't have to chase compliance requirements at the last minute.

1. The Problem Is Real, and It Is Getting Worse

Procurement teams in aerospace, defense, manufacturing, and healthcare are under increasing pressure because the compliance requirements attached to their supplier relationships keep expanding.

NIST SP 800-171 explicitly places security requirements into contractual vehicles with any nonfederal organization handling Controlled Unclassified Information (CUI). [1] The Department of Defense's CMMC program began phased implementation on November 10, 2025, with Level 2 self-assessments already required for applicable contractors. Level 2 third-party assessments begin November 10, 2026. Requirements flow down to subcontractors based on the data they handle. [2]

NIST's supply-chain risk guidance (SP 800-161) further connects cybersecurity risk management to acquisition activities and warns of risks from counterfeit, malicious, or poorly developed products and services entering the supply chain. [3]

Sanctions screening (OFAC/SDN) is not a one-time lookup — it is ongoing due diligence. ITAR registration, licensing, and recordkeeping obligations persist and change. ISO 9001 certifications run on three-year cycles with annual surveillance. Insurance certificates lapse annually. Every one of these

requirements can expire, change, or fall out of compliance between the moment it is checked and the moment it is needed again. [4][5][6][7]

The procurement team is not the cause of this complexity. But under a reactive model, they end up owning the scramble.

2. Why the Stress Keeps Happening

The evidence-collection model most organizations use has not kept pace with the requirements it must satisfy.

Recent academic research describes TPRM questionnaires as drawn from large repositories while tailoring remains “largely manual.” [8] Separate research on repeated questionnaire administration finds that repetition reduces respondent engagement and response quality. Both findings are consistent with what procurement teams experience: low response rates, wrong contacts, expired certificates, and last-minute escalation.

What teams try	What happens
Chase it internally	Procurement spends hours collecting documentation that should already exist. Suppliers answer the same questions they answered last year, in a different format, for a different customer.
Send a portal link	The link goes to the wrong person. The wrong person ignores it. The deadline passes.
Escalate to the supplier	The compliance contact left six months ago. The ERP still shows the old name. The email bounces.
Wait for the audit	The most expensive option. Always.

Every option puts the burden on your team. None of them solves the problem before it becomes a problem.

3. Reactive vs. Proactive: What the Evidence Shows

Dimension	Reactive Compliance Model	Proactive Supplier Readiness
Trigger	Reviews begin when a renewal, audit, or review is already live	Reviews begin at defined workflow events: onboarding, renewal, award, audit prep
Evidence state	PDFs, emails, spreadsheets, stale certificates, scattered reviewers	Reusable supplier readiness profile with evidence links, expirations, owners, and refresh dates

Dimension	Reactive Compliance Model	Proactive Supplier Readiness
Supplier continuity	Higher chance of avoidable delay or disqualification of otherwise valuable suppliers	Earlier detection and remediation; good suppliers preserved through coaching, not disqualification
Audit outcome	More exceptions, more scramble, weaker defensibility	Cleaner evidence trail, better preparedness, faster response

4. The Business Case

Companies invest enormous time and money identifying, qualifying, onboarding, and developing good suppliers. Losing a strong supplier — or holding a purchase order — because a certificate expired, a sanctions screen was not refreshed, or a cybersecurity attestation was incomplete is not good business.

Intelleges was named Battelle Supplier of the Year 2023 — recognition from one of the world’s largest research and development organizations for exactly this kind of supplier-readiness work.

The strongest ROI case starts with operations. Fewer analyst hours, fewer duplicate follow-ups, faster days-to-decision. IBM’s 2024 breach benchmark put the global average cost of a data breach at \$4.88 million — a useful reminder that supplier-readiness failures carry consequences well beyond administrative inconvenience. [9]

The cost of losing a qualified supplier is harder to benchmark industry-wide — it depends on switching cost, requalification time, production delay, and commercial impact. That is exactly why companies should measure it for themselves. But the direction is clear: when good suppliers are hard to replace, it is smarter to remediate gaps early than to discover them when the business is already on the clock.

The best time to solve a supplier compliance problem is before it becomes a procurement emergency.

5. What Intelleges Does

We work directly with your suppliers — not just your procurement team — to make sure they are ready before your purchase order renewals and audits arrive.

Requirement	What Intelleges manages for you
TPRM	Third-Party Risk Management assessments — outreach, collection, follow-up, evidence
CMMC	Cybersecurity Maturity Model Certification documentation and flow-down compliance

Requirement	What Intelleges manages for you
ISO Certificates	ISO 9001, ISO 27001, AS9100 — current, verified, tracked against expiry
OFAC / SDN	Sanctions screening against government lists — ongoing, not one-time
DFARS Flow-Downs	Contractual cybersecurity and compliance obligations through every tier
COI	Certificates of Insurance — tracked and renewed before they lapse
Counterfeit Parts	AS5553 / AS6174 supplier documentation and controls
Annual Reps & Certs	FAR / DFARS annual supplier attestations — rolled over, not re-collected
eSRS / SAM.gov	Subcontracting plan reporting and ISR support

We handle the outreach. We handle the collection. We handle the follow-up. We handle the evidence.

What Procurement Gets

- ✓ Fewer supplier compliance emergencies
- ✓ Less document chasing
- ✓ Higher audit readiness
- ✓ Better supplier retention
- ✓ More time for strategic sourcing

Evidence Availability Engine (EAE)

At the core of the Intelleges platform is the Evidence Availability Engine — a capability that goes beyond document storage. EAE produces document-ready PDFs, validates signatures and expiration dates before evidence is submitted, and provides AI-powered querying and creation of the document library to ensure full compliance with the applicable standards and best practices. When an auditor or customer asks for proof, EAE assembles it instantly — verified, current, and defensible.

Good suppliers should not be disqualified because of preventable administrative compliance gaps.

So your suppliers show up prepared — and your procurement team doesn't have to chase compliance requirements at the last minute.

Serving aerospace, defense, manufacturing, and healthcare primes and their supply chains.

Sources

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